

Nova Retail — Annual Operations Review 2026

Executive Summary

Fiscal year 2026 was marked by strong revenue growth of 24% year-over-year, driven primarily by expansion into three new regional markets. Operating margin improved from 11% to 14.5%. The board's key recommendation for 2027 is to accelerate investment in the logistics network to support continued expansion.

Section 1: Revenue Performance

Total revenue reached \$84.2M, up from \$67.9M the prior year. The Southeast region contributed the largest single-region growth at 31%, while the Northeast grew a more modest 9% due to increased local competition.

Section 2: Cost Structure

Cost of goods sold remained stable at 58% of revenue. Logistics costs rose 6% due to fuel price increases, partially offset by a 12% reduction in warehousing costs following the consolidation of two regional distribution centers.

Section 3: Customer Metrics

Customer retention improved to 87%, up from 81% last year. Net Promoter Score rose to 52. Churn was concentrated among customers acquired through paid acquisition channels rather than organic or referral channels.

Section 4: Headcount & Org Changes

Total headcount grew from 210 to 264. Two new VP-level hires joined in Q3: a VP of Logistics and a VP of Data. Attrition remained low at 8%, below the retail industry average of 14%.

Section 5: Risk Factors

Key risks for 2027 include continued fuel price volatility, potential tariff changes affecting imported inventory, and increased competition in the Southeast region from two new market entrants.

Section 6: Recommendation

The board recommends increasing capital investment in the logistics network by \$6M in 2027, prioritizing automation at the two largest distribution centers. This is projected to reduce per-unit fulfillment cost by 9% within 18 months.